

1Q25 Result: Better Provision Offset Weaker NIM, All Guidance Maintained

OCBC reported 1Q25 net profit of S\$1.9bn, -5% yoy/+12% qoq, 4-6% ahead of JEF/consensus. Revenue was +1% yoy/+7% qoq, 1% ahead of JEF/cons, with better non-II offsetting the NIM decline (-11bps qoq). Cost +5% yoy is in line with JEF/cons. Surprisingly, provisions beat, with CoR only +3bps qoq and new NPA stable. Fully loaded CET1 is 15.5%, +0.2ppt qoq. All guidance for 2025 is maintained.

Key positives - 1) Non-II strong, +10% yoy/+36% qoq. Fee income +14% yoy/+6% qoq, 2-3% ahead of JEF/cons, mainly led by wealth +18% yoy/+9% qoq and loan-related fees +18% yoy/+5% qoq. Trading and other income also grew +8% yoy/+72% qoq, with insurance contribution +6% yoy/+203% qoq from last quarter's low base given one-off assumption adjustments. **2) CoR benign**, +8bps yoy/+3bps qoq to 24bps, still 5bps better than JEF forecast. SP improved 7bps yoy/4bps qoq to 11bps, meaning the increase in CoR was mainly the result of higher GP. NPL ratio remained stable qoq at 0.9%, with new NPAs at S\$236mn, flat yoy/-55% qoq. NPA coverage +3ppt qoq to 162%.

Key negatives - 1) NIM weakness, -11bps qoq to 2.04% notably weaker than peers and JEF forecast. NII was -4% yoy/qoq, in line with JEF but 2% below consensus, with softer NIM somewhat offset by +3% growth qoq in AIEA. Loans grew +1% qoq/+7% yoy in constant-currency terms.

Outlook - All guidance for 2025 is maintained: **1)** NIM in the region of 2.0%, **2)** MSD loan growth, **3)** CIR in low-40s, **4)** CoR in 20-25bps, **5)** 60% total dividend payout combined with share buybacks as part of the S\$2.5b capital return over a two-year period.

Implications - Mgmt acknowledged that the regional growth outlook is now more uncertain and will focus on achieving strategic goals. Provision was better than feared, even with an increase in GP, the main reason for a small profit beat. Underlying asset quality seems robust, with modest new NPA, similar to DBS. However, the NIM decline was larger than peers, leaving not as much room vs FY guidance in the ~2.0% region. Including buyback, total capital return yield is ~7% and still somewhat below peers. Among SG banks, we maintain our preference for DBS.

FLASH NOTE

RATING

HOLD

PRICE

SGD16.16*

PRICE TARGET | % TO PT

SGD18.50 | +14%

52W HIGH-LOW

SGD17.93 - SGD13.75

FLOAT (%) | ADV MM (USD)

71.9% | 112.53

MARKET CAP

SGD72.7B | \$56.4B

TICKER

OCBC SP

*Prior trading day's closing price unless otherwise noted.

Figure 1 - OCBC 1Q25 Result Snapshot

	1Q24	2Q24	3Q24	4Q24	1Q25	yoy %	qoq %	2025	2024	2025	2024
P&L (\$B MNS)											
Net interest income	2,457	2,455	2,433	2,455	2,395	-4%	-4%	2,339	0%	2,389	-2%
Non-fee income	479	462	528	517	545	+2%	+5%	525	+2%	525	+2%
Other income	750	755	861	864	764	-4%	-1%	750	-2%	865	+15%
Total income	3,686	3,672	3,822	3,836	3,699	-4%	+1%	3,614	+2%	3,779	+5%
Operating expenses	13,340	13,273	13,453	13,505	13,453	-1%	-1%	13,453	-1%	13,453	-1%
Pre-provision profit	2,346	2,400	2,369	2,331	2,246	-4%	-4%	2,161	+2%	2,326	+7%
Provision for credit losses	(2,000)	(2,043)	(2,005)	(2,043)	(2,043)	-2%	-2%	(2,043)	-2%	(2,043)	-2%
Operating profit	3,346	3,343	3,374	3,288	3,289	-4%	-4%	3,204	+2%	3,369	+7%
Net profit (after tax)	3,062	3,064	3,074	3,067	3,067	-4%	-4%	3,067	+2%	3,067	+2%
EPS (\$)	0.44	0.44	0.44	0.44	0.44	-4%	-4%	0.44	+2%	0.44	+2%
Key financial ratios (%)											
Return on assets	12.2%	12.2%	12.4%	12.4%	12.3%	-1%	-1%	12.3%	-1%	12.3%	-1%
Cost-to-income	36.2%	36.1%	35.2%	35.2%	36.3%	+1%	+1%	36.3%	+1%	36.3%	+1%
NIM	2.27%	2.26%	2.25%	2.25%	2.04%	-1%	-1%	2.04%	-1%	2.04%	-1%
Capital return (bps)	68	67	72	71	69	-1%	-1%	69	-1%	69	-1%

Source: Jefferies, Company

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Figure 2 - OCBC 1Q25 Result Snapshot

	1Q24	2Q24	3Q24	4Q24	1Q25	yoy %	qoq %	JEF 1Q25E	Diff	Cons 1Q25E	Diff
P&L (\$\$ MM)											
Net interest income	2,437	2,430	2,433	2,455	2,345	-4%	-4%	2,339	0%	2,388	-2%
Net fee income	479	466	508	517	546	14%	6%	536	2%	529	3%
Other income	710	733	861	444	764	8%	72%	750	2%	685	12%
Total income	3,626	3,629	3,802	3,416	3,655	1%	7%	3,625	1%	3,602	1%
Overhead expenses	(1,346)	(1,373)	(1,463)	(1,560)	(1,415)	5%	-9%	(1,413)	0%	(1,412)	0%
Pre-provision profit	2,280	2,256	2,339	1,856	2,240	-2%	21%	2,212	1%	2,189	2%
Asset loss provisions	(169)	(144)	(169)	(208)	(212)	25%	2%	(290)	-27%	(305)	-31%
Operating profit	2,111	2,112	2,170	1,648	2,028	-4%	23%	1,922	6%	1,884	8%
Net profit (attributable)	1,982	1,944	1,974	1,687	1,883	-5%	12%	1,805	4%	1,785	6%
DPS (\$\$)		0.44		0.57							
Key financial ratios (%)											
Fee as % of income	13.2%	12.8%	13.4%	15.1%	14.9%	1.7pp	(0.2pp)	14.8%	0.1pp		
Cost to income	37.1%	37.8%	38.5%	45.7%	38.7%	1.6pp	(7.0pp)	39.0%	(0.3pp)		
NIM	2.27%	2.20%	2.18%	2.15%	2.04%	(23bp)	(11bp)	2.11%	(7bp)		
Credit cost (bps)	16	15	22	21	24	8bp	3bp	29	(5bp)		

Source: Jefferies, Company

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We would like to thank Max Nie, employee of Evalueserve Inc., for providing research support services to our preparation of this report.

Company Description

Oversea-Chinese Banking Corp.

Oversea-Chinese Banking Corp. Ltd. engages in banking, life assurance, general insurance, asset management, investment holding, futures, and stock broking businesses. The company operates its business through following segments: Global Consumer Financial Services, Global Corporate Banking, Global Treasury, Insurance, and Others. The Global Consumer Financial Services segment provides deposit products, consumer loans, credit cards, and wealth management products. The Global Corporate Banking segment offers long-term loans such as project financing, short-term credit such as overdrafts and trade financing, deposit accounts and fee-based services such as cash management and custodian services. The Global Treasury segment offers structured treasury products and financial solutions, and participates in foreign exchange activities, money market operations, fixed income, and derivatives trading. The Insurance segment provides life and general insurance products. The Others segment engages in investment holding, property holding, stock brokerage, capital market, and corporate finance. Oversea-Chinese Banking was founded in 1932 and is headquartered in Singapore.

Company Valuation/Risks

Oversea-Chinese Banking Corp.

Our PT of S\$18.5 is based on an 11x multiple to 12m fwd EPS. Key upside risks include better-than-expected loan growth, margins and asset quality. Key downside risks include worsening asset quality, slower growth in WM AUM, economic slowdown, large M&A. We ascribe below-mean multiple to take into account low RoE and M&A overhang.

DBS Group Holdings Ltd.

Our PT of S\$52 is based on an 13x multiple to 12m forward EPS. Key upside risks include better-than-expected loan growth, margins and asset quality. Key downside risks include worse-than-expected asset quality/any large NPA formation, dialling down of rate hike/steeper yield curve expectations

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(Article 3(1)e and Article 7 of MAR)

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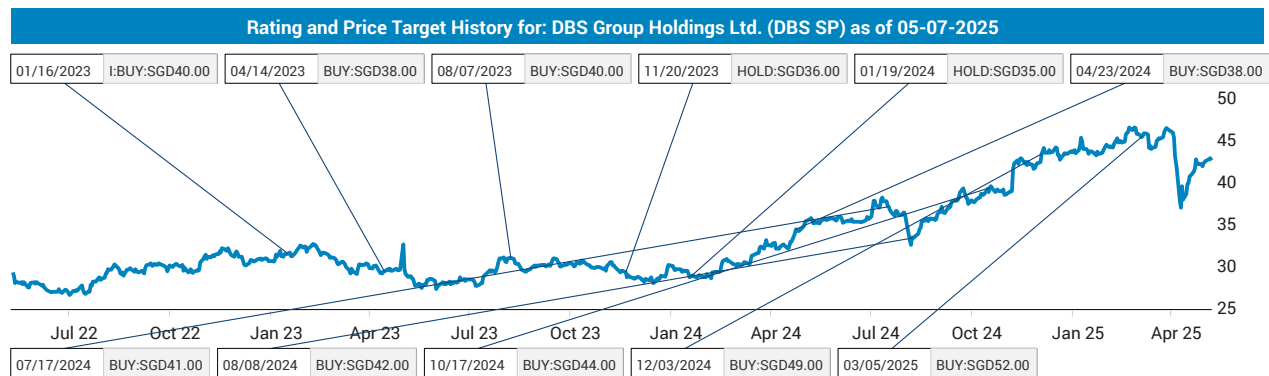
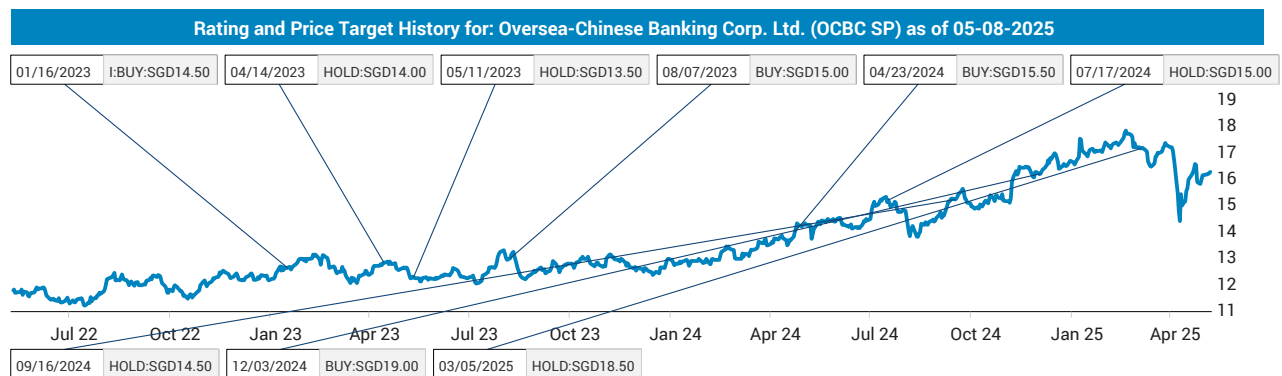
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Other Companies Mentioned in This Report

- DBS Group Holdings Ltd. (DBS SP: SGD43.09, BUY)
- Oversea-Chinese Banking Corp. Ltd. (OCBC SP: SGD16.16, HOLD)



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